

26CHCV00502 26CHCV00502

County: los-angeles

Division: Civil Law and Motion

Department: F46

Hearing date: 2026-07-07

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF46%2C07%2F07%2F2026

Source SHA-256: 8bec2b237928a76d89ca28e732c68ae48658cf9a4f58c98961bbd25414b2a16a

Case Number: 26CHCV00502 Hearing Date: July 7, 2026 Dept: F46

Dept. F-46

Hearing Date: July 7, 2026

Case Number: 26CHCV00502

DEFENDANT WAWANESA GENERAL INSURANCE COMPANY'S DEMURRER
TO PLAINTIFF'S COMPLAINT

Demurrer filed on May 6, 2026.

MOVING PARTY: Defendant Wawanesa General Insurance Company

RESPONDING PARTY: Plaintiff Daniel Zulalyan

NOTICE: OK.

RELIEF REQUESTED: Order sustaining the demurrer to the third
cause of action for bad faith, fourth cause of action for fraud - intentional
misrepresentation, and fifth cause of action for fraud - negligent
misrepresentation.

RULING: Overruled as to the third cause of action. Sustained
with 20 days leave to amend as to the fourth and fifth causes of action.

BACKGROUND

On February 5, 2026, Daniel Zulalyan (Plaintiff) filed the operative

complaint against Wawanesa General Insurance Company (Defendant) asserting causes of action for breach of contract, breach of the implied obligation of good faith and fair dealing, bad faith, fraud - intentional misrepresentation, and fraud - negligent misrepresentation. Defendant filed this demurrer on May 6, 2026, supported by a memorandum of points and authorities, a request for judicial notice, and the declaration of Jocelyn J. Whiteley. Plaintiff filed an opposition on June 23, 2026. Defendant filed a reply on June 29, 2026.

LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037.) The burden is on the complainant to show that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

DISCUSSION

Request for Judicial Notice

Plaintiff does not oppose judicial notice of the Policy's existence and contents. Defendant's request for judicial notice is granted as to the existence and terms of the Policy. (Kotlar v. Hartford Fire Ins. Co. (2000) 83 Cal.App.4th 1116, 1120; Ascherman v. General Reinsurance Corp. (1986) 183 Cal.App.3d 307, 310-311.) The Court does not consider the request as establishing disputed facts concerning Defendant's claim handling.

Third Cause of Action: Bad Faith

Defendant demurs to the third cause of action on grounds that it is duplicative of the second cause of action.

In the insurance context, “tortious breach of a duty imposed by the contractual implied covenant of good faith and fair dealing . . . is what the common term ‘bad faith’ signifies.” (Hand v. Farmers Ins. Exchange (1994) 23 Cal.App.4th 1847, 1854.) “Bad faith claims are based on the contractual covenant of good faith and fair dealing.” (San Diego Housing Commission v. Industrial Indemnity Co. (1998) 68 Cal.App.4th 526, 544.)

There is a split of authority as to whether redundancy of a cause of action is a proper ground for sustaining a demurrer. (Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 890; cf. Rodrigues v. Campbell Industries (1978) 87 Cal.App.3d 494, 501.) In Blickman, the Court of Appeal held that duplicative causes of action are not grounds on which a demurrer may be sustained. (Blickman, supra, 162 Cal.App.4th at p. 890.) Upon reviewing the relevant legislative history, the Court reasoned that “[t]he elimination of the reference to redundancy may have rested on the irreproachable rationale that it is a waste of time and judicial resources to entertain a motion challenging part of a pleading on the sole ground of repetitiveness. (See Civ. Code, § 3537 [“Superfluity does not vitiate”].) This is the sort of defect that, if it justifies any judicial intervention at all, is ordinarily dealt with most economically at trial, or on a dispositive motion such as summary judgment.” (Ibid.)

Here, the second and third causes of action rely on substantially the same alleged claim handling, including document requests, an EUO demand, SIU referral, delayed inspection, and denial of first-party property damage and uninsured motorist benefits. (Compl. ¶¶ 51, 66.) Both seek loss of policy benefits, emotional distress, inconvenience, and punitive damages. (Compl. ¶¶ 57, 60, 70, 75.) Even assuming the third cause of action is redundant of the second cause of action, Defendant demurs to the third cause of action on redundancy alone. The Court follows Blickman and will not sustain the demurrer on that basis.

The demurrer to the third cause of action is overruled.

Fourth and Fifth Causes of Action: Fraud - Intentional

Misrepresentation and Fraud - Negligent Misrepresentation

Defendant demurs to the fourth and fifth causes of action on grounds that Plaintiff fails to plead fraud with specificity and fails to plead actionable reliance. Defendant separately argues the fourth cause of action fails because Plaintiff does not plead a knowingly false misrepresentation when made, and the fifth cause of action fails because Plaintiff does not plead a misrepresentation of past or existing material fact.

The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiff must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) As to the degree of particularity required to allege fraud, “considerations of practicality enter in.” (*Miles v. Deutsche Bank National Trust Co.* (2015) 236 Cal.App.4th 394, 403.) Less specificity is required for alleging fraud claims if it appears from the nature of the allegations that the defendant necessarily possesses more information. (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 838.) Still, fraud pleadings must allege facts as to “how, when, where, to whom, and by what means the representations were tendered.” (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.)

Here, Plaintiff alleges Defendant misrepresented through “policy documents, declarations, marketing materials, and claims-handling communications” that Defendant would provide first-party property damage and uninsured motorist coverage and would promptly and fairly investigate and adjust covered claims. (Compl. ¶¶ 77, 88.) These allegations identify the general subject of the alleged representations, but they do not allege what Defendant said or wrote with the required specificity. (*Tarmann, supra*, 2 Cal.App.4th at p. 157.) Nor do they allege when it was said or written, by what means the representations were tendered, or the corporate speaker or author with authority to make the representation. (*Ibid.*; *Stansfield, supra*, 220 Cal.App.3d at p. 73.)

Plaintiff argues the identities of Defendant’s internal

corporate personnel are uniquely within Defendant's possession, custody, and control. However, even allowing for reduced specificity where Defendant may possess more information, Plaintiff still must identify the specific representation or document he received, the substance of the representation, when and how he received it, and the circumstances under which he relied on it. Those facts concern what was communicated to Plaintiff and are presumably within Plaintiff's own knowledge. As pleaded, the fourth and fifth causes of action do not allege the "how, when, where, to whom, and by what means" of the alleged fraud. (Stansfield, *supra*, 220 Cal.App.3d at p. 73.) The fourth and fifth causes of action therefore do not plead fraud with the required specificity.

As to the fourth cause of action, "[t]he elements of a cause of action for intentional misrepresentation are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another's reliance on the misrepresentation, (4) actual and justifiable reliance, and (5) resulting damage." (Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166.) "Certain broken promises of future conduct may, however, be actionable. Civil Code section 1710, subdivision (4) defines one type of deceit as 'A promise, made without any intention of performing it.'" (Tarmann, *supra*, 2 Cal.App.4th at p. 158.) But "something more than nonperformance is required to prove the defendant's intent not to perform his promise." (Tenzer v. Superscope, Inc. (1985) 39 Cal.3d 18, 30.)

Here, Plaintiff alleges Defendant knew the representations were false because Defendant later referred the claim to SIU, demanded documents, delayed inspection, failed to pay, and denied coverage. (Compl. ¶¶ 79-83.) These allegations concern Defendant's later claim handling. They do not allege facts showing Defendant made the alleged promise "without any intention of performing it" when the promise was made. (Tarmann, *supra*, 2 Cal.App.4th at p. 158.) As pleaded, the fourth cause of action relies on later alleged nonperformance and claim mishandling to infer fraudulent intent, but does not allege "something more than nonperformance" showing Defendant's intent not to perform at the time of the alleged promise. (Tenzer, *supra*, 39 Cal.3d at p. 30.)

As to the fifth cause of action, the elements of negligent misrepresentation include "[m]isrepresentation of a past or existing material fact, without reasonable ground for believing it to be true, and with intent to induce another's reliance on the fact misrepresented; ignorance of the truth

and justifiable reliance on the misrepresentation by the party to whom it was directed; and resulting damage.” (Hydro-Mill Co., Inc. v. Hayward, Tilton & Rolapp Ins. Associates, Inc. (2004) 115 Cal.App.4th 1145, 1154, quotation marks omitted.) To be actionable, negligent misrepresentation must ordinarily be based on a past or existing material fact; “predictions as to future events, or statements as to future action by some third party,” are not actionable. (Tarmann, supra, 2 Cal.App.4th at p. 158.) In Tarmann, the alleged misrepresentation that the insurer “would pay” for repairs in the future “did not involve a past or existing material fact” and instead “involved a promise to perform at some future time.” (Ibid.) “[T]here is no recognized cause of action for a negligent misrepresentation based on a false promise.” (Hooked Media Grp., Inc. v. Apple Inc. (2020) 55 Cal.App.5th 323, 331.) Negligent misrepresentation lacks the element of intent to deceive. (Moncada v. West Coast Quartz Corp. (2013) 221 Cal.App.4th 768, 781.)

Here, Plaintiff alleges Defendant represented it “would provide” coverage and “would promptly, fairly, and properly investigate and adjust covered claims.” (Compl. ¶ 88.) Those allegations concern future policy performance and future claim handling. They are not allegations of a “past or existing material fact.” (Hydro-Mill, supra, 115 Cal.App.4th at p. 1154.) Plaintiff also alleges Defendant failed to exercise reasonable care because Defendant “did not intend to provide prompt, fair, and proper claims handling.” (Compl. ¶ 91.) That allegation sounds in an alleged false promise or intentional nonperformance, not negligent misrepresentation. Nor does Plaintiff identify a specific representation Defendant honestly believed to be true but lacked reasonable grounds for believing. As pleaded, the fifth cause of action therefore does not allege negligent misrepresentation.

In light of this ruling, the Court does not reach Defendant’s remaining arguments.

The demurrer to the fourth and fifth causes of action is sustained.

Leave to Amend

Because this is the first challenge to the fourth and fifth causes of action and Plaintiff may be able to allege more specific facts, leave to amend is granted as to the fourth and fifth causes of action. (Goodman, supra, 18 Cal.3d at p. 349; Blank, supra, 39 Cal.3d at p.

318.)

CONCLUSION

The demurrer is overruled as to the third cause of action for bad faith. The demurrer is sustained with 20 days leave to amend as to the fourth cause of action for fraud - intentional misrepresentation and the fifth cause of action for fraud - negligent misrepresentation.